

Kroger — FY27 Joint Business Plan

Acme Corp × Kroger · category captaincy, defending against Simple Truth, winning protein

Document type Retailer joint business plan
Period FY2027
Owner Priya Raman, Category Manager; Kroger team (Jasmine Watkins, NAM)
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Acme sales at Kroger (FY25)	\$93M · Tier 1
Acme role	Category captain — RTE cereal
Live threat	Simple Truth private-label protein switching
Crunchwell → Simple Truth switch	14.3% national (Kroger HH panel)
Larksfield share gain	+1.4 pts national · +2.1 pts Kroger-South
Retail-media incrementality	0.77 (Kroger Precision Marketing)

Executive summary

Kroger is Acme's #2 customer at \$93M in FY25 net revenue and the account where Acme holds the category-captain seat. That captaincy is now being tested from inside the store: Kroger's own Simple Truth private label is pulling protein-forward shoppers out of Crunchwell at a 14.3% national switch rate, and Larksfield's Field & Honey is gaining shelf momentum, up +1.4 points nationally and +2.1 points in Kroger-South. Neither threat is Kroger acting against Acme — both are the category evolving toward protein and value. The FY27 plan uses the captain's chair to grow the total category while defending Crunchwell and accelerating ProteinPeak into the protein pocket Simple Truth is currently capturing.

- **Defend the base.** Crunchwell is switching to Simple Truth at 14.3% nationally; the loss is concentrated in protein-forward and sugar-reduced occasions, exactly where ProteinPeak plays.
- **Convert the threat.** The protein-forward segment is pulling ~2.3% per quarter out of traditional family cereal — captaincy should route that demand to ProteinPeak, not Simple Truth.
- **Watch the South.** Larksfield gained +2.1 points at Kroger-South, the same battlefield as the Louisiana decline (see Report 39).
- **Improve media efficiency.** Kroger Precision Marketing returned \$0.77 per \$1 in Q1 — solid but below break-even; FY27 optimizes toward it.

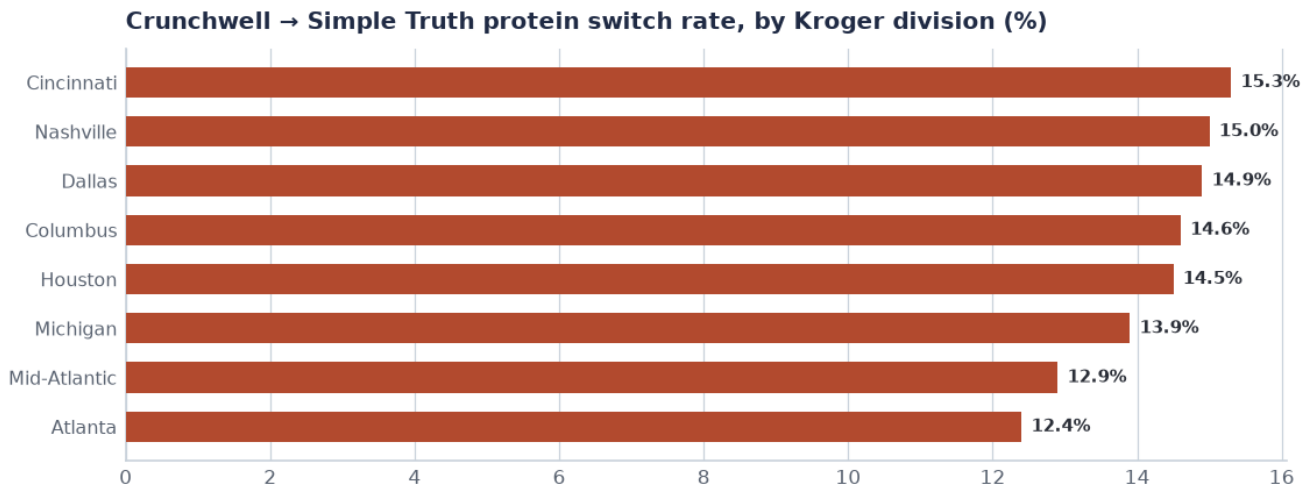
1 · Account & captaincy scorecard

ACME SALES (FY25) \$93M #2 customer · Tier 1	ACME ROLE Cat captain RTE cereal	CRUNCHWELL SWITCH 14.3% to Simple Truth (natl)	RETAIL-MEDIA INCR. 0.77 Kroger Precision
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Acme's category-captaincy at Kroger is an asset and a responsibility: it gives Acme the shelf and assortment influence to steer category growth, and it obliges Acme to grow the total category, not just its own brands. The FY27 plan is written in that frame — defend Crunchwell against private-label switching while routing the category's protein migration into ProteinPeak distribution rather than ceding it to Simple Truth.

2 · Simple Truth private-label switching

A Numerator household-panel study across Kroger divisions shows Crunchwell lapsed buyers switching into Simple Truth protein items at a 14.3% national rate — the anchor number for this plan. The switch is heaviest in the protein and wholegrain segments (12.4%–20.0% by division and item group) and is where Simple Truth has gained +0.8 points of protein-segment share. Larksfield's Field & Honey is the other gainer, up +1.4 points nationally and +2.1 points at Kroger-South.



Protein-segment switching runs 12.9%–15.3% across divisions; the aggregated national rate is 14.3%. Source: kroger_simple_truth_switching (Numerator HH panel, 2026-Q1).

2.1 · Where the share is going

Share movement (2026-Q1, Kroger)	Shift	Read
Simple Truth — protein segment	+0.8 pts	PL capturing protein demand
Larksfield Field & Honey — national	+1.4 pts	branded protein challenger
Larksfield Field & Honey — Kroger-South	+2.1 pts	same front as Louisiana decline
Protein-forward vs traditional family	−2.3%/qtr	segment migration, category-wide
Crunchwell — national	flat	holding, but leaking to protein

Source: kroger_simple_truth_switching (anchor rows: national 14.3%, Simple Truth +0.8 pts, Larksfield +1.4 natl / +2.1 South).

The switch is a protein story, not a price story

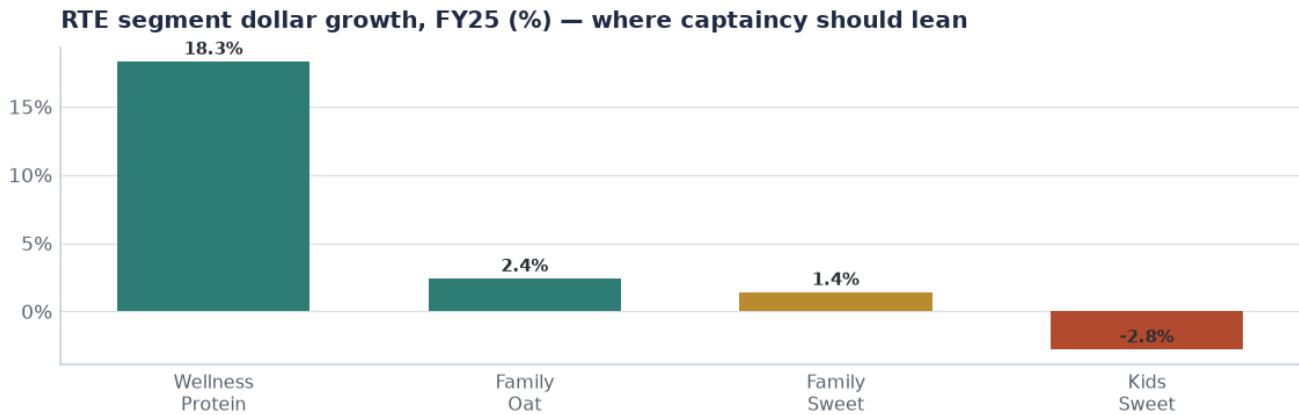
Crunchwell is losing protein-forward and sugar-reduced occasions, each pulling ~2.3% per quarter out of traditional family cereal. The defensible move is not deeper Crunchwell promotion — it is putting ProteinPeak on the Kroger protein shelf so the migrating shopper stays in an Acme brand rather than switching to Simple Truth.

3 · Category leadership — growing the whole aisle

As category captain, Acme's FY27 plan for Kroger is to grow the total aisle by leaning into the pockets that are growing and managing the ones that are declining. Wellness Protein (+18.3%) and Family Oat (+0.4–2.4%) are where the plan invests distribution and shelf; Kids Sweet (–2.8%) is managed for margin, not volume.

RTE segment (FY25, US)	Size	YoY growth	Acme share
Family Sweet	\$2.86B	+1.4%	5.9%
Family Oat	\$1.68B	+2.4%	7.4%
Wellness Protein	\$840M	+18.3%	7.6%
Kids Sweet	\$1.41B	-2.8%	5.1%

Source: category_market_size (NielsenIQ-shape, FY2025 US National).



Route category growth to protein and oat; manage kids-sweet decline. Family Oat +2.4% per FACTS; total-oat framing. Source: category_market_size.

4 · Kroger Precision Marketing & trade

Kroger Precision Marketing returned \$0.32M incremental on \$0.4M of Q1 spend — a 0.77 ratio, second only to Walmart Connect in the portfolio and clearly worth scaling in FY27 with tighter targeting. Crunchwell's Kroger trade line ran \$18.2M in FY25 at a 0.60 incrementality index, leveraged by the captaincy relationship; the FY27 promo plan rationalizes depth toward higher-incrementality mechanics rather than blanket price-off.

Brand (Kroger trade, FY25)	Spend	Depth	Incr. index
Crunchwell	\$18.2M	27.8%	0.60
HoneyNest	\$5.4M	24.0%	0.50
MorningOats	\$3.2M	18.5%	0.56
ProteinPeak	\$0.5M	11.0%	0.46

Source: trade_spend_fy25 (Kroger); retail_media_spend_q1_2026 (Kroger Precision).

5 · FY27 joint targets & the ask

FY27 joint workstream	Commitment	Owner
Defend Crunchwell	Cut the 14.3% Simple Truth switch; protein/sugar-reduced offense	Priya Raman
Protein assortment	ProteinPeak distribution on the Kroger protein shelf	Sage Park
Category leadership	Grow the aisle: protein + oat in, manage kids-sweet	Priya Raman
Promo optimization	Rationalize Crunchwell depth toward higher-incrementality mechanics	Priya Raman
Retail media	Scale Kroger Precision (0.77) with tighter targeting	Tasha Brooks

FY27 risk — the captain must convert the protein migration

If ProteinPeak does not win Kroger protein-shelf distribution in FY27, the category's protein migration continues to flow to Simple Truth and Field & Honey — and the captaincy narrative erodes with it. Defending Crunchwell on price alone loses money and does not address the underlying segment shift. See the pre-read, Report 03, and the LA read, Report 32.

Recommendations & next steps

#	Action	Owner	When
1	Stand up a Crunchwell defense plan targeting protein-forward and sugar-reduced switching to Simple Truth.	Priya Raman	FY27 JBP
2	Win ProteinPeak protein-shelf distribution at Kroger to intercept the protein migration.	Sage Park / Jasmine Watkins	FY27 line review
3	Use captaincy to grow the total aisle: protein and oat distribution up, kids-sweet managed.	Priya Raman	FY27
4	Scale Kroger Precision Marketing (0.77) and rationalize Crunchwell trade depth.	Tasha Brooks	H2 FY26 → FY27